

AFRO DELI – WOODBURY, MINNESOTA

Comprehensive Franchise Business Plan (All-Equity Investor Structure)

Prepared for: Koo Ok, Owner-Operator

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Status: Pre-FDD Financial Projections (Subject to Franchisor Verification)

Revision Note (v2). This revision responds to a full outside review of v1. Changes: covers-to-revenue reconciliation; labor-ratio reconciliation (Section 13); single cash-flow basis (free cash flow, not EBITDA); occupancy assumption disclosed as conservative; the unsupported "≈29% CAGR" replaced with a computed investor-level IRR; raise sequencing aligned to the FDD/site-LOI gate; **all structuring and legal gaps closed** (securities compliance, manager-managed LLC, tax distributions, distribution policy — Section 9.13–9.15 and Appendix G); Unit-2 expansion conflict defined (Section 9.16); operator capital contribution addressed (Section 8.5); Year-5 exit/liquidity mechanism added (Section 9.15); budget now carries a 10% build-out contingency, delivery commissions broken out, insurance and professional fees trued up, and wage bands provided (Sections 7.6, 9.1, 9.3); slow-ramp downside and a multi-variable sensitivity grid added (Section 9.12); the five-year margin walk is now shown line-by-line (Section 9.11); competitor and market claims verified (Section 5, Appendix A); Minnesota franchise-registration timing added to the calendar (Section 11.1); measurable community commitments added (Section 12); formatting proofread.

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1. Executive Summary

Metric	Value
Business Concept	Afro Deli Franchise — African-Mediterranean fusion fast-casual
Proposed Location	Woodbury, Minnesota
Total Investment	\$300,000
Capital Structure	100% investor equity — no debt, no SBA, no personal guarantee
Projected Year 1 Revenue	\$637,650
Projected Year 1 EBITDA	\$93,478 (14.7% margin)
Projected Year 1 Free Cash Flow	\$88,478 (after \$5,000 maintenance capex)
Year 1 Return on Capital (project level)	31.2% (EBITDA basis)
Year 1 Investor Cash Return	\$62,687 — 20.9% (preferred + 60/40 on distributable cash)
EBITDA Break-Even	Month 2 (month-2 EBITDA = \$297 — see sensitivity, Section 9.12)
Cumulative Cash Positive	Month 3
Stress Case (Yr 1)	–20% covers / 32% COGS → \$36,090 EBITDA (12.0% project ROI)
5-Year Cumulative Free Cash Flow	\$747,978 (249% of invested capital)
Investor IRR	≈ 17.5% (distributions only) → ≈ 39% with the Year-5 buyout (Section 9.15)
Recommendation	Raise \$300K investor equity; proceed with Woodbury site selection subject to FDD review and lease approval

Thesis in one line: a proven, debt-free franchise model with 12+ years of operating history and \$1.37M in combined existing revenue, entering an affluent, under-restauranted suburb with no direct African-Mediterranean competitor — \$300K of investor capital targets a 31% Year-1 project return and a 21% Year-1 cash distribution, with no leverage and no personal guarantee.

2. Company Overview

2.1 The Brand

Afro Deli is a fast-casual African-Mediterranean fusion restaurant concept rooted in the Twin Cities. Founded as a social enterprise, it weaves African, Mediterranean, and American cuisine in a fast, family-friendly environment. All dishes are made fresh and prepared halal.

- **3 operating locations** in the Twin Cities metro, **12+ years** of continuous operation
- **\$1.37M combined annual net sales** across existing locations
- **25.7% of revenue from catering** — a proven institutional model
- **17.1% of revenue from third-party delivery**
- Regular presence at the **Minnesota State Fair** — deep local brand recognition

- **Social enterprise mission:** community hiring, cultural programming, and halal food access — a genuine differentiator from commercial operators

2.2 The Franchise Model

This plan covers the **first suburban franchise unit** of Afro Deli — Woodbury, MN. The franchise agreement assumed here includes a standard structure of **6% royalty + 2% national marketing fund** (both to be verified against the FDD), franchisee training, an approved supplier list, and Woodbury-specific territorial rights (to be confirmed).

Franchise term (assumed)	Detail	Verification
Royalty	6% of gross sales	FDD Item 6
National/brand marketing fund	2% of gross sales	FDD Item 6
Initial franchise fee	\$35,000	FDD Item 5
Initial term	10 years	FDD Item 17
Territory	Woodbury (exclusive)	FDD Item 12
Training	Franchisor program + on-site at existing locations	FDD Item 11

None of these terms are verified. Section 10.1 is a hard gate: no investor capital should be committed until the FDD is obtained and reviewed by franchise counsel.

Why franchise vs. independent: the franchisor provides brand recognition, proven recipes and SOPs, an established catering playbook, buying power on specialty ingredients, and training — while the operator avoids the multi-year trial-and-error of concept development. The model's unit economics are already validated by three real locations (Section 13).

2.3 Ownership & Structure

Element	Detail
Owner-Operator	Koo Ok (full-time, on-site)
Entity	Minnesota LLC — manager-managed (manager: Koo Ok), formed before any capital commitment
Capital	\$300,000 investor equity; zero debt; operator cash contribution per Section 8.5
Investor terms	Illustrative: 8% cumulative preferred return + 60/40 profit split (terminology defined in Appendix G)
Governance	Quarterly investor reporting; operator KPI dashboard (Section 11.2); investor consent rights (Appendix G)
Securities	Regulation D private placement; no general solicitation (Section 9.14)

3. Industry Analysis

3.1 Fast-Casual Restaurant Sector

- The US restaurant industry continues to outpace grocery, with **fast-casual the fastest-growing segment** — driven by quality/price balance and the "elevated convenience" trade-up from QSR
- Unit economics favor **limited-menu concepts with catering and delivery** — both of which Afro Deli already operates (25.7% and 17.1% of sales)
- **Off-premise (delivery + catering + takeout) now exceeds 50% of industry sales** at the margin — Afro Deli's existing channel mix is structurally aligned with where the industry is going

3.2 Halal Food Market

- The global halal food market is projected to exceed **\$2T by 2030**, growing faster than conventional food
- The US halal restaurant segment is **undersupplied relative to demand** — halal certification is a trust signal that commands loyalty, not a niche
- Minnesota is home to **one of the largest Somali/East African communities in the US** (estimated 50,000–80,000 in the Twin Cities metro) — an anchor customer base with deep cultural connection to the menu, plus a broader health-conscious and Muslim-family audience

3.3 Catering & Business Dining

- US business/corporate catering is a **multi-billion-dollar annual market**, and office return-to-work trends favor food-service vendors with established B2B relationships
- Afro Deli's existing locations derive **25.7% of revenue from catering** — an institutional playbook (medical campuses, corporate offices, schools, community events) that transfers directly to Woodbury's larger institutional base

3.4 Twin Cities Dining Context

- The metro is a **top-10 US food-city market** with strong independent-restaurant culture and growing ethnic cuisine demand
- Suburban dining density lags urban cores — suburbs like Woodbury are **under-served for differentiated ethnic concepts**, which is precisely the gap this plan exploits

4. Market Analysis — Woodbury

4.1 Why Woodbury? — Market Selection Rationale

Three Twin Cities suburbs were evaluated: **Woodbury**, **Minnetonka**, and **Edina**. Woodbury is the clear winner:

1. Population & Growth (Critical Mass) — ~75,000 residents, growing +12% since 2020 — three times faster than Minnetonka (+4%), four times faster than Edina (+3%). New households are actively forming dining habits; a new concept entering now captures the "shaping" of those habits.

2. Affluence Without Saturation — median household income \$117,000 ($\approx$ Edina's \$120K, above Minnetonka's \$105K), but restaurant density per capita is significantly lower: Edina has 186+ restaurants for 54,000 residents; Woodbury ~140 for 75,000. More people, fewer options.

- 3. The Daytime Surge Advantage** — a 30–40% daytime population surge driven by the **M Health Fairview Woodwinds Hospital campus** (Woodbury's largest single health-care employer), the regional retail power centers, and the I-94 corporate corridor (3M in Maplewood, Ecolab in St. Paul — both within a 10–15 minute drive). This drives lunch traffic AND catering demand — both validated by existing locations (55.7% lunch / 25.7% catering).
- 4. Catering Infrastructure is Pre-Built** — Woodbury's institutional base (medical, corporate, schools) is larger and more corporate-heavy than the existing locations serve. The 25.7% catering model transfers directly. South Washington County Schools (ISD 833) alone enrolls ~18,700 students across 29 schools — the sixth-largest district in Minnesota (Appendix A).
- 5. Zero Direct Competition** — no African-Mediterranean fusion, halal-first positioning, or cultural storytelling concept exists in the market (Section 5).
- 6. Real Estate Economics** — lease rates \$20–\$25/sq ft NNN are 10–30% below Minnetonka and 20–40% below Edina; permitting takes 4–6 weeks vs. 6–12 weeks elsewhere. Lowest entry cost, fastest path to opening.
- 7. Expansion Sequencing** — Woodbury (Yr 1) → Minnetonka (Yrs 3–5) → Edina express (Yr 5+): from largest market with lowest barriers to most expensive last.

Key Market Data — Comparative Table

Factor	Woodbury	Minnetonka	Edina
Population (2025 est.)	~75,000	~55,000	~54,000
Growth (2020–2025)	+12%	+4%	+3%
Median Household Income	\$117,000	\$105,000	\$120,000
Daytime Surge	30–40%	Moderate	Moderate
Direct Afro-Med Competition	None verified	None verified	None verified
Lease Rate (\$/sq ft NNN)	\$20–\$25	\$22–\$28	\$28–\$35
Permitting Timeline	4–6 weeks	6–10 weeks	8–12 weeks
Restaurant Density	Lower (140/75K)	Medium	Higher (186+/54K)
Expansion Priority	Primary (Yr 1)	Secondary (Yr 3–5)	Future (Yr 5+)

4.2 Demographic Analysis

Metric	Value	Source
Population (2025 est.)	~75,000	Metro COG projection
Median Household Income	~\$117,000	ACS 5-year
Median Age	39	ACS 5-year
Households with Children (6–17)	~38%	ACS 5-year
Bachelor's Degree or Higher	~56%	ACS 5-year
Daytime Population Surge	+30–40%	Employment + medical draw (employer headcounts to be confirmed)
Median Home Value	~\$430,000	Zillow/Redfin

Target Customer Segments

Segment	% of Revenue	Profile
Families with Children	50%	Dual-income families seeking healthier, faster dinner options
Catering & Corporate	25%	Medical campuses, offices, schools — higher margin, strong repeat
Young Professionals & Couples	15%	Affluent millennials seeking unique global flavors
Daytime Workforce + Delivery	10%	Medical/office/retail workers + third-party delivery

5. Competitive Analysis

5.1 Direct Competitors (Woodbury) — Verified September 2026

Competitor	Category	Price Point	Woodbury Status	Afro Deli's Advantage
Chipotle	Mexican fast-casual	~\$10-12	Present	Unique flavor, not a commoditized burrito
Panera Bread	Bakery-Café	~\$11-14	Present	Dinner-centric, bolder flavors, halal
Noodles & Co	Global fast-casual	~\$10-12	Present	Authentic cuisine, halal commitment
Crisp & Green	Health fast-casual	~\$11-13	Present	Broader menu — flavor first
Naf Naf Grill	Mediterranean fast-casual	~\$11-13	CLOSED (265 Radio Dr)	Cautionary, not competitive — see below

Naf Naf Grill finding (verified Sept 2026): Naf Naf opened a Woodbury location at 265 Radio Dr and has since closed. Its exit is a two-sided signal. It **confirms** that a minimally differentiated Mediterranean fast-casual cannot hold this market — which supports the differentiation thesis. It **also** confirms that Woodbury is not a market where a chain can coast on category alone. The plan's answer is halal certification, African-spiced menu, catering depth, and cultural storytelling — none of which Naf Naf carried.

Market presence for Chipotle, Panera, Noodles & Co, and Crisp & Green is asserted from current market knowledge and must be confirmed by a physical site survey during final diligence (Appendix A, item 5).

Positioning: no Woodbury operator offers African-Mediterranean fusion, halal-first certification, cultural storytelling, or sambusas/Chicken Fantastic/Somali rice bowls. Afro Deli's \$15 average ticket sits at a premium to QSR competitors — justified by a differentiated, higher-perceived-value menu and validated by existing locations' actual \$15.89 ticket.

5.2 Catering Competition

Woodbury catering options are dominated by generic corporate caterers and chain catering menus (Panera, Chipotle). None offer **halal, culturally authentic African-Mediterranean catering at scale** — the specific ask from medical campuses, schools, and corporate offices with diverse workforces. Existing locations already win this business in St. Paul/Minneapolis; Woodbury's institutional base is larger.

5.3 Competitive Threats

- **Cava** (Mediterranean fast-casual) is expanding nationally and could enter Woodbury — its Mediterranean positioning overlaps, but it does not compete on African fusion, halal certification, or cultural identity
- **Independent imitation** within 2-3 years of success — mitigated by brand equity, catering relationships, and franchise system scale
- **Chain attrition precedent** — Naf Naf's Woodbury exit shows category chains can fail here; the mitigation is differentiation plus the catering book, not menu novelty alone
- **Response:** first-mover advantage + relationship-based catering contracts are defensible moats

6. Marketing & Sales Plan

6.1 Brand Positioning

"Real African-Mediterranean food, made fresh, prepared halal — with a story worth telling."

The brand's social-enterprise identity (Section 12) is a marketing asset: Woodbury consumers increasingly choose restaurants with authentic cultural stories and community values.

6.2 Pre-Opening (budget: \$13,000, capitalized)

Initiative	Detail
Launch event	Catered preview for Woodbury business leaders, medical campus administrators, school food-service directors
Local SEO & maps	Google Business Profile, local keyword content, review system from day one
Community halo	Co-marketing with local mosques, East African community associations, cultural orgs; State Fair brand carryover
Social proof sprint	40+ reviews in first 60 days (table tents, QR cards, follow-up texts)
Teaser campaign	Geo-targeted social ads (Woodbury ZIPs) + signage at site during build-out

6.3 Ongoing Marketing — Two Separate Budgets

Critically, these are two different buckets. The 2% national marketing fund is the franchisor's brand fund; it typically funds national/brand activity, not Woodbury ZIP-targeted advertising. Local store marketing is budgeted separately.

Bucket	Funding	What it pays for
National/brand fund	2% of gross sales (\$12,753 in Year 1)	Franchisor brand campaigns, national programs, some digital assets
Local store marketing (LSM)	~\$4,000-6,000/yr from the store's own P&L (Year 1 modeled: \$4,000 $\approx$ 0.6% of sales; recommended: 1.0% of sales $\approx$ \$6,400 as volume scales)	Woodbury geo-targeted ads, local sponsorships, catering outreach samples, loyalty promos, review generation

If the FDD shows the 2% fund does not support local activity (likely), LSM is a genuine incremental cost already provided for in Other OpEx (Section 9.3). The two budgets are never conflated.

6.4 Channel Plan

Channel	Strategy
Catering B2B engine	Weekly outreach cadence: M Health Fairview Woodwinds, I-94 corridor employers, ISD 833 schools; sample boxes; repeat-order program; dedicated coordinator
Digital	Meta geo-targeting, delivery-app promotions, loyalty program (families segment), email list
Dinner growth	Evening-specific promos attacking the #1 underpenetrated daypart (16.1% at existing locations $\rightarrow$ ~25% target)
Seasonal	School-year catering cycles, Q4 holiday catering push, summer patio program
Community	Sponsorships (soccer clubs, cultural festivals), school fundraising nights — high-ROI local trust-building

6.5 Sales Funnel Targets (Year 1)

- 40+ active catering accounts by Month 12 (targeting 15–20% of revenue)
- 40+ reviews/quarter sustained (4.5★+ rating)
- 17.1%+ of revenue from third-party delivery
- Loyalty program: 2,000+ members by Year 1 end

7. Operations Plan

7.1 Ideal Site Criteria

Criterion	Target	Rationale
Space	1,500–1,800 sq ft	Fits existing kitchen + FOH model
Configuration	Endcap or inline w/ patio	Dual-exposure signage; summer evening traffic
Anchor	Grocery-anchored power center	Woodbury Lakes, Tamarack Village, Valley Creek
Traffic	25,000+ VPD	Woodbury Dr, Valley Creek Rd, Tamarack Rd
Lease Rate	\$18–\$25/sq ft NNN	Aligns with the \$4,200/mo occupancy budget (conservative — see 9.3)
Parking	Shared lot, 50+ spaces	Peak lunch/dinner overlap
Visibility	Street-facing signage	Brand awareness for first suburban unit
Space type	Second-generation restaurant preferred	Existing kitchen = ~\$130K build-out savings
Lease term	10-year initial term + two 5-year options	Aligned to the 10-year franchise term (see 7.8)

7.2 SWOT Analysis

Strengths: proven 12+ year model · 25.7% catering infrastructure · no verified direct competition · all-halal positioning · existing Twin Cities brand + State Fair presence · 17.1% delivery channel · \$15.89 actual ticket · **zero-debt structure**

Weaknesses: first suburban unit · limited Woodbury awareness vs. nationals · 8% royalty+marketing burden · no drive-thru · owner-operator learning curve · dinner underpenetrated (16.1%)

Opportunities: 12% Woodbury growth · no fusion competitor · growing halal demand · larger institutional catering base · delivery growth · dinner runway (16.1% → 25%) · expansion units funded by new capital

Threats: economic downturn · halal protein inflation · labor wage pressure · potential Cava entry · independent imitation · lease escalation at renewal · specialty ingredient supply chain · **single-operator key-person dependency**

7.3 Menu Overview

Item	Description	Role
Chicken Fantastic	Somali rice + creole sauce	Signature entrée
Sambusas (beef / chicken / veggie)	Hand-folded pastry	Fan favorite / appetizer
Lamb & Chicken Gyros	Spiced rotisserie	Lunch driver
Spiced Bowls	Proteins over Somali rice	Bowl-category competitor
Falafel / Hummus	Plant-based staples	Vegan/vegetarian option

- Average ticket **\$15.00** (actual \$15.89 — conservative)
- Average turn time **17.8 minutes** (source: existing-location POS export, June 2025–June 2026; to be formally documented in Appendix D)

- **All-halal** + vegetarian/vegan options widen the addressable base
- **Catering menu:** family trays + institutional packages — the 25.7% engine

7.4 Supply Chain & Food Safety

Element	Detail
Halal certification	Approved halal suppliers per the franchisor's approved-supplier list; the certifying body is to be named from the FDD (candidate certifiers include IFANCA and HFSAA — not yet confirmed)
Specialty ingredients	Somali rice blends, berbere spice, sambusa wrappers — established franchisor supplier relationships
Food safety	ServSafe-certified management; MN Dept of Health compliance; HACCP-based procedures
Inventory	Par-level system; weekly ordering; waste tracking from Day 1 (COGS target 29%)

7.5 Technology & Systems

- **POS: Toast POS** (confirmed choice) — one platform covering point-of-sale, online ordering, delivery-app integration (DoorDash/Uber Eats — the 17.1% channel), a catering module (the 25.7% engine), kitchen display system, and built-in loyalty (the 2,000+ member program). Hardware + SaaS subscription; ongoing platform fees (~\$400/mo) sit in Other OpEx
- **Delivery:** DoorDash/Uber Eats/Grubhub integration (17.1% of existing sales) — commissions 15–30% depending on plan; modeled at ~26% (Section 9.3)
- **Reporting:** daily sales/covers/catering dashboard; weekly P&L review vs. plan (Section 11 KPIs)
- **Catering CRM:** pipeline tracking for the B2B engine (Section 6.4)

7.6 Staffing & Training

- **Year 1: 6–8 team members (≈3.6 FTE)** ramping with covers (Section 8.3). (v1 stated "8–12 FTEs," which was inconsistent with the \$131,295 crew-labor budget — corrected.)
- Franchisor training program for owner + management (FDD-verified) + on-site training at existing locations
- Cross-training: every FOH staff can cover 2+ stations; kitchen staff halal-food-handling certified
- **Labor target:** 30% of revenue including owner salary — at the top of the actual existing-location range (15–21% excluding owner), reflecting new-market wage pressure and lower initial volume leverage

Wage bands (Woodbury market, 2026):

Role	FTE (Yr 1)	Wage band	Basis
Owner-Operator (Koo Ok)	1.0	\$60,000/yr salary	Fixed by plan
General Manager	1.0	\$52,000–62,000/yr salaried	Working manager; opens/closes
Kitchen Lead	1.0	\$19–22/hr	Halal-handling certified
Cooks / Prep	~1.5	\$17–20/hr	Ramping with volume
FOH / Cashier / Serving	~1.0	\$15–18/hr	Ramping with lunch/dinner build
Delivery prep / Runner	included above	\$15–17/hr	Third-party order staging
Catering Coordinator	0.5	\$20–24/hr	Part-time to start; full-time as catering scales

Tie-out: Year-1 labor \$191,295 = owner salary \$60,000 (9.4% of sales) + store labor \$131,295 (20.6%). At a blended crew wage of ~\$17.50/hr, \$131,295 ≈ 7,500 hours/yr ≈ 145 hours/week ≈ **3.6 FTE**, staffed as 6–8 part- and full-time team members. Wage inflation is modeled at ~3%/yr in Years 2–5.

7.7 Opening Timeline

Phase	Duration	Key Activities
Site selection + LOI	Weeks 1–4	Shortlist Tamarack Village / Woodbury Lakes / Valley Creek; LOI contingent on kitchen inspection
Lease negotiation	Weeks 4–8	10-year term; \$18–\$25/sq ft NNN; landlord TI; permit-ready condition
Permitting	Weeks 8–12	Woodbury 4–6 week process
Build-out	Weeks 12–20	Second-gen conversion (~\$115K net of TI); equipment; POS
Franchisor training	Weeks 18–22	Owner + management at existing locations
Soft opening	Week 22	Phased hours, limited menu
Grand opening	Week 24	Full menu, marketing launch, catering pipeline live

7.8 Lease Strategy & Landlord TI

- **Term:** target a **10-year initial term with two 5-year renewal options**, aligned to the 10-year franchise term. (v1 targeted 5–7 years, which would have created a mid-franchise-term lease renewal while ~\$180K of leasehold/FF&E was still amortizing — a mismatch now corrected.)
- **Rent:** \$18–\$25/sq ft NNN (triple-net: tenant pays taxes, insurance, CAM on top of base rent).
- **Landlord TI:** the plan requests a tenant-improvement allowance of **\$25–\$40/sq ft (~\$45,000–\$72,000 on 1,800 sq ft)**. **The \$115,000 build-out budget is stated net of a mid-range TI assumption (~\$25/sq ft ≈ \$45,000); gross build-out is therefore ≈\$160,000.** If TI cannot be secured, the second-generation-space requirement and the \$17,000 contingency become critical.

8. Management & Organization

8.1 Owner-Operator — Koo Ok

Full-time, on-site owner-operator.

PLACEHOLDER — TO BE COMPLETED BY THE OPERATOR. This is the #1 diligence item for a first-time franchisee. Supply, at minimum:

- Years and scope of restaurant/food-service or general management experience (and any P&L ownership)
- Relevant certifications (ServSafe, food handler, etc.)
- Prior business ownership, if any — outcomes
- Why this franchise and this market; commitment horizon
- Two professional references

- Compensation: \$60,000/year, included in the 30% labor assumption
- No outside employment — full operational commitment is a requirement of this plan
- **Key-person mitigation:** a General Manager is hired **before soft opening** (not deferred), the operator's duties are documented in written SOPs, and the LLC carries key-person life/disability insurance on the operator (target \$500,000–\$1,000,000) with the LLC as beneficiary (Section 10.2)

8.2 Organization

Owner-Operator (Koo Ok)

- └ General Manager (1) ← hired before soft opening
 - └ Kitchen Lead + Cooks (1 + 1–2)
 - └ FOH / Cashier / Serving (2–3 part- and full-time)
 - └ Delivery prep / Runner (part of FOH rotation)
- └ Catering Coordinator (0.5, ramps to full-time)

8.3 Staffing Plan (ramping with covers)

Role	Year-1 FTE	Notes
Owner-Operator	1.0	Full-time, on-site; \$60K salary
General Manager	1.0	Kitchen + FOH oversight; catering coordination; hired pre-opening
Kitchen Lead / Cooks	1.0 + 1.5	Halal food-handling certified
FOH / Cashier / Serving	1.0	Ramping with lunch/dinner build (2–3 people part-time)
Catering Coordinator	0.5	Part-time to start; full-time as catering scales
Total	≈3.6 crew FTE + owner	6–8 team members

8.4 Advisory

- Franchise attorney (FDD review), CPA (tax + entity structure), and the franchisor's field support team
- Securities counsel for the offering documents (Section 9.14)
- Quarterly investor reporting cadence with the Section 11 KPI dashboard

8.5 Operator Capital Contribution — TO BE CONFIRMED

The review correctly flagged that this is unstated. Investors will ask. Two defensible structures:

Structure	Operator cash	Operator compensation	Investor terms	Note
A — Sweat equity (recommended default)	\$0	\$60,000 salary + 40% of profit after the 8% preferred	100% of the \$300K; 8% cumulative pref + 60% of residual	Cleanest to execute; operator's "capital" is full-time, on-site labor; standard for owner-operator franchise deals
B — Skin in the game	\$20,000 (6.7%)	\$60,000 salary + 35% of profit after the 8% preferred	\$280,000 (93.3%)	Stronger alignment signal; requires the operator to fund \$20K

Under Structure A the operator's profits interest is proposed as a **profits interest vesting over 4 years** (with a 1-year cliff) so that investors are protected if the operator exits early. **Decision required from the operator before the PPM is drafted.**

9. Financial Plan

9.1 Startup Costs — \$300,000

Category	Cost	Notes
Franchise Fee	\$35,000	Assumed; verify vs. FDD Item 5
Build-Out / Leasehold Improvements	\$115,000	Second-generation space with existing kitchen; net of a ~\$45,000 landlord TI assumption (gross ≈ \$160,000)
FF&E (incl. POS hardware)	\$55,000	Used/leased where sensible
Permits, Licenses & Filing Fees	\$10,000	City + state + health
Technology & POS	\$8,000	Toast hardware + setup
Initial Inventory / Smallwares	\$14,000	
Pre-Opening Marketing & PR	\$13,000	Capitalized; awareness before Day 1
Professional Fees	\$10,000	Franchise counsel (\$5–10K range), CPA, entity formation, PPM review
Build-Out & FF&E Contingency (~10%)	\$17,000	New in v2 — exactly 10% of build-out + FF&E (\$170,000). Standard and previously absent
Working Capital Reserve	\$23,000	Covers the modeled operating trough (−\$1,965) ≈ 12×; also funds insurance, first payroll, and pre-opening opex
Total	\$300,000	

Insurance: the Year-1 premium (~\$8,000 — workers' comp for 6–8 food-service employees plus general liability and property) is carried as an operating cost in Other OpEx rather than capitalized, so it appears in the P&L below. Quotations from a broker are required to true this up before the PPM is finalized.

9.2 Funding Structure — 100% Investor Equity

Source	Amount	Terms
Investor Equity	\$300,000 (100%)	8% cumulative preferred + 60/40 profit share (Appendix G)
Debt	\$0	No debt, no SBA, no personal guarantee

Why no debt: with no loan service, every dollar of EBITDA belongs to operations and owners. EBITDA break-even in Month 2; cumulative cash positive Month 3; investor capital exposed to only two months of negative cash flow.

9.3 Key Financial Assumptions

Metric	Assumption	Basis
Average Ticket	\$15.00	Below actual (\$15.89) — conservative
COGS	29% of revenue	Halal proteins and African spices are premium
Total Labor (incl. owner salary)	30%	Owner salary \$60K included; ≈3.6 crew FTE (Section 7.6)
Franchise Royalty	6% of gross revenue	Standard franchise structure
National Marketing Fund	2% of gross revenue	Brand fund only — does not fund local ads (Section 6.3)
Occupancy	\$4,200/mo (\$50,400/yr)	Conservative: ≈\$23.33/sq ft all-in on 1,800 sq ft, at the TOP of the \$18-\$25 market range. (v1's "\$4,200/mo at 1,600 sq ft / \$24" did not reconcile; the working assumption is 1,800 sq ft at the top of market.)
Debt Service	\$0	All-equity structure
Operating Days	26/mo	Closed Thanksgiving, Christmas; limited Sunday
Catering (Yr 1)	15-20% of revenue	Conservative vs. 25.7% actual — market case higher, financial case deliberately lower
Delivery	17.1% of revenue	Matches existing locations
Delivery commissions	~26% of delivery sales (≈\$28,350 in Yr 1)	DoorDash/Uber Eats range 15-30% by plan; now a disclosed line (was hidden inside Other OpEx)
Local store marketing	\$4,000 Yr 1 (rising to ~1% of sales)	Separate from the 2% brand fund
Depreciation	FF&E 7-yr straight-line; Leasehold 10-yr; Franchise fee 10-yr	\$24,000/yr
Maintenance capex	\$5,000 Yr 1 → \$10,000 Yr 5	New in v2 — equipment refresh (was \$0 in Years 2-5)
Taxes	Not modeled (pre-tax plan)	Pass-through LLC; K-1 tax distributions per Appendix G

Conservative Ramp-Up

Month	Covers/Day	Revenue	Rationale
1	50	\$19,500	Soft opening — phased hours, training focus
2	70	\$27,300	Word of mouth; catering pipeline starting
3	95	\$37,050	Post-grand opening; weekday lunch building
4	115	\$44,850	Regulars established; catering repeats begin
5	130	\$50,700	Dinner traffic building; delivery volume up
6	145	\$56,550	Steady-state approaching
7	155	\$60,450	Summer patio season
8	165	\$64,350	Back-to-school family dinner traffic
9	170	\$66,300	Fall catering cycle
10	175	\$68,250	Q4 holiday catering ramp
11	180	\$70,200	Pre-holiday catering push
12	185	\$72,150	Year-end steady state

Ramp is 10–15% slower than the pre-revision draft (v1, August 2026) — conservative for a first-time franchise owner in a new suburban market. Revenue = covers/day × 26 days × \$15.00.

9.4 Year 1 Financial Summary

Metric	Amount
Revenue	\$637,650
COGS (29%)	(\$184,919)
Gross Profit	\$452,732
Operating Expenses	(\$359,253)
EBITDA	\$93,478 (14.7%)
Debt Service	\$0
Less: maintenance capex	(\$5,000)
Free Cash Flow	\$88,478
Project-level Return on \$300K	31.2% (EBITDA basis)
Investor-level Year-1 cash return	\$62,687 — 20.9% (Appendix G waterfall)

One cash basis throughout: EBITDA is the operating metric; **free cash flow (EBITDA – maintenance capex) is the distribution basis.** v1 mixed these (showing \$93,478 in the five-year table and \$88,478 in the cash-flow statement).

9.5 Monthly Financial Projections

Item	M1	M2	M3	M4	M5	M6
Covers/Day	50	70	95	115	130	145
Revenue	\$19,500	\$27,300	\$37,050	\$44,850	\$50,700	\$56,550
COGS (29%)	(\$5,655)	(\$7,917)	(\$10,745)	(\$13,007)	(\$14,703)	(\$16,400)
Gross Profit	\$13,845	\$19,384	\$26,306	\$31,844	\$35,997	\$40,151
Labor (30%)	(\$5,850)	(\$8,190)	(\$11,115)	(\$13,455)	(\$15,210)	(\$16,965)
Occupancy	(\$4,200)	(\$4,200)	(\$4,200)	(\$4,200)	(\$4,200)	(\$4,200)
Royalty (6%)	(\$1,170)	(\$1,638)	(\$2,223)	(\$2,691)	(\$3,042)	(\$3,393)
Brand Marketing (2%)	(\$390)	(\$546)	(\$741)	(\$897)	(\$1,014)	(\$1,131)
Other OpEx	(\$4,200)	(\$4,512)	(\$4,902)	(\$5,214)	(\$5,448)	(\$5,682)
EBITDA	(\$1,965)	\$297	\$3,124	\$5,386	\$7,083	\$8,780
Cumulative CF	(\$1,965)	(\$1,668)	\$1,456	\$6,843	\$13,926	\$22,706

Item	M7	M8	M9	M10	M11	M12
Covers/Day	155	165	170	175	180	185
Revenue	\$60,450	\$64,350	\$66,300	\$68,250	\$70,200	\$72,150
COGS (29%)	(\$17,531)	(\$18,662)	(\$19,227)	(\$19,793)	(\$20,358)	(\$20,924)
Gross Profit	\$42,920	\$45,689	\$47,073	\$48,458	\$49,842	\$51,227
Labor (30%)	(\$18,135)	(\$19,305)	(\$19,890)	(\$20,475)	(\$21,060)	(\$21,645)
Occupancy	(\$4,200)	(\$4,200)	(\$4,200)	(\$4,200)	(\$4,200)	(\$4,200)
Royalty (6%)	(\$3,627)	(\$3,861)	(\$3,978)	(\$4,095)	(\$4,212)	(\$4,329)
Brand Marketing (2%)	(\$1,209)	(\$1,287)	(\$1,326)	(\$1,365)	(\$1,404)	(\$1,443)
Other OpEx	(\$5,838)	(\$5,994)	(\$6,072)	(\$6,150)	(\$6,228)	(\$6,306)
EBITDA	\$9,910	\$11,042	\$11,607	\$12,172	\$12,738	\$13,304
Cumulative CF	\$32,616	\$43,658	\$55,264	\$67,437	\$80,175	\$93,478

Milestones: Month 2 EBITDA positive · Month 3 cumulative positive (peak trough –\$1,965) · Year-end EBITDA \$93,478 (14.7%), free cash flow \$88,478.

Other OpEx — Year-1 itemization (\$66,546 total):

Item	Amount	Note
Third-party delivery commissions	\$28,350	17.1% of sales × ~26% — now broken out (v1 buried this)
Insurance (general liability, property, workers' comp)	\$8,000	Worker's comp for 6-8 food-service employees
Utilities	\$13,200	~\$1,100/mo
POS / technology subscriptions	\$4,800	~\$400/mo
Repairs & maintenance	\$3,600	Plus the \$5K capital maintenance reserve
Supplies, smallwares & to-go packaging	\$4,800	
Local store marketing	\$3,796	Separate from the 2% brand fund (Section 6.3)
Total	\$66,546	

9.6 Break-Even Analysis

Metric	Value
Monthly Fixed Costs	~\$8,400 (occupancy \$4,200 + cash fixed opex ~\$4,200)
Variable Cost Ratio	~67% (COGS 29% + Labor 30% + Royalty 6% + Brand Mktg 2%)
Contribution Margin	~33%
Break-Even Revenue	~\$25,455/mo
Break-Even Covers	~65/day
EBITDA Break-Even	Month 2 (EBITDA = \$297)
Cumulative Positive	Month 3

Sensitivity of the "Month 2" claim (new in v2): month-2 EBITDA is \$297 — technically break-even but only barely. A **four-week delay in the catering pipeline** (catering starting Month 4 instead of Month 3) pushes the cumulative-cash-positive month from Month 3 to **Month 4-5** and lowers Year-1 EBITDA by roughly \$8,000-12,000. That is still comfortably inside the \$23,000 working-capital reserve and the \$17,000 contingency. Investors should read Month 2 as "the ramp crosses zero early," not as a fixed promise.

9.7 Cash Flow Statement (Year 1)

Item	Year 1
EBITDA	\$93,478
Owner salary	Already included in EBITDA (labor)
Less: maintenance capex	(\$5,000)
Free Cash Flow to Invested Capital	\$88,478
Debt service	\$0
Distributable Cash (before reserves)	\$88,478
Less: minimum operating cash floor and tax reserve	(per Appendix G distribution policy)
Investor distributions (illustrative)	\$62,687 (preferred \$24,000 + 60% of \$64,478)

(Distribution mechanics, retention policy, and tax distributions are defined in Appendix G. The plan recommends quarterly distributions of distributable cash up to the preferred return plus the 60/40 split, retaining a stated minimum cash floor.)

9.8 Projected Balance Sheet

Opening (at \$300K close):

Assets		Liabilities & Equity	
Cash (working capital \$23,000 + contingency \$17,000)	\$40,000	Liabilities	\$0
Inventory & smallwares	\$14,000	Equity (investors)	\$300,000
FF&E (incl. POS hardware)	\$63,000		
Leasehold improvements	\$115,000		
Franchise fee (intangible)	\$35,000		
Pre-opening costs (permits, pre-opening marketing, professional fees)	\$33,000		
Total	\$300,000	Total	\$300,000

Year 1 End:

Assets		Liabilities & Equity	
Cash (40,000 + 88,478 OCF)	\$128,478	Liabilities	\$0
Inventory & smallwares	\$14,000	Equity: opening	\$300,000
FF&E (68,000 gross incl. \$5K capex, less \$9,000 dep)	\$59,000	Retained earnings	\$69,478
Leasehold (less \$11,500 dep)	\$103,500		
Franchise fee (less \$3,500 amortization)	\$31,500		
Pre-opening costs	\$33,000		
Total	\$369,478	Total	\$369,478

Tie-out: D&A = FF&E \$63,000 ÷ 7 = \$9,000 + leasehold \$115,000 ÷ 10 = \$11,500 + franchise \$35,000 ÷ 10 = \$3,500 = **\$24,000**. Net income (pre-tax) = \$93,478 – \$24,000 = **\$69,478**. Operating cash flow = \$69,478 + \$24,000 – \$5,000 maintenance capex = **\$88,478**. The balance sheet balances to the dollar at \$369,478. Pre-opening costs are carried unamortized in Year 1 (conservative treatment to be finalized with the CPA).

9.9 Investor Return Structure (Illustrative — Confirm Before Circulating)

Component	Amount	Year 1
8% cumulative preferred on \$300K	\$24,000/yr	\$24,000
Remaining after preferred (\$88,478 – \$24,000)	\$64,478	—
60/40 split (investors/operator)	\$38,687 / \$25,791	—
Total Year 1 investor cash return		\$62,687 (20.9%)
Operator Year 1	\$25,791 + \$60,000 salary	\$85,791

Alternative (8% preferred + 50/50): investors \$56,239 (18.7%), operator \$32,239 + salary.

Two return measures, kept distinct:

Measure	Year 1	Basis
Project-level return on capital	31.2%	EBITDA \$93,478 ÷ \$300,000
Investor-level cash return	20.9%	\$62,687 distribution ÷ \$300,000

These are not the same number and should never be conflated in investor conversations. v1's "≈29% CAGR" conflated them and assumed a return of principal that does not exist in the terms.

9.10 Sensitivity — Stress Test

Metric	Base	Stress (–20% covers, 32% COGS)
Revenue	\$637,650	~\$511,680 (≈ –20%)
EBITDA	\$93,478	\$36,090
Margin	14.7%	7.1%
Project-level ROI on \$300K	31.2%	12.0%
Cash position	Positive M3	Positive all year

The stress case still covers the \$24,000 preferred return (\$36,090 > \$24,000); investor distributions would fall to roughly \$31,254 (10.4%) in that year — profitable but thin.

Levers: labor to ~27% (owner lowers draw) · COGS to 27% · defer non-essential spend · accelerate catering outreach. The \$23K working capital reserve covers the base trough ~12× over.

9.11 Five-Year Outlook — Line-by-Line P&L and Margin Walk

Five-Year P&L (no debt): (D&A rises modestly as equipment-refresh capex accumulates; net income is pre-tax — pass-through LLC, before K-1 tax distributions.)

Metric	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
Revenue	\$637,650	\$780,000	\$842,000	\$885,000	\$925,000
COGS	(\$184,919)	(\$222,300)	(\$237,444)	(\$247,800)	(\$259,000)
Labor (incl. owner)	(\$191,295)	(\$215,900)	(\$230,784)	(\$240,931)	(\$247,927)
Occupancy	(\$50,400)	(\$50,400)	(\$51,912)	(\$53,469)	(\$55,073)
Royalty (6%)	(\$38,259)	(\$46,800)	(\$50,520)	(\$53,100)	(\$55,500)
Brand Marketing (2%)	(\$12,753)	(\$15,600)	(\$16,840)	(\$17,700)	(\$18,500)
Other OpEx	(\$66,546)	(\$81,000)	(\$86,000)	(\$90,000)	(\$94,000)
EBITDA	\$93,478	\$148,000	\$168,500	\$182,000	\$195,000
D&A	(\$24,000)	(\$25,000)	(\$26,000)	(\$27,000)	(\$28,000)
Net income (pre-tax)	\$69,478	\$123,000	\$142,500	\$155,000	\$167,000
Maintenance capex	(\$5,000)	(\$7,000)	(\$8,000)	(\$9,000)	(\$10,000)
Free Cash Flow	\$88,478	\$141,000	\$160,500	\$173,000	\$185,000
Cumulative FCF	\$88,478	\$229,478	\$389,978	\$562,978	\$747,978
Owner salary (annual)	\$60,000	\$60,000	\$60,000	\$60,000	\$60,000

Margin walk — why EBITDA margin goes from 14.7% to 21.1% (new in v2):

Ratio	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5	Δ Yr1→Yr5
COGS %	29.0%	28.5%	28.2%	28.0%	28.0%	−1.0 pp
Labor % (incl. owner)	30.0%	27.7%	27.4%	27.2%	26.8%	−3.2 pp
Occupancy %	7.9%	6.5%	6.2%	6.0%	6.0%	−1.9 pp
Royalty + Brand Mktg %	8.0%	8.0%	8.0%	8.0%	8.0%	0.0 pp
Other OpEx %	10.4%	10.4%	10.2%	10.2%	10.2%	−0.2 pp
EBITDA margin	14.7%	19.0%	20.0%	20.6%	21.1%	+6.4 pp

Drivers, stated plainly:

1. **Labor leverage (−3.2 pp):** the owner's fixed \$60,000 salary falls from 9.4% to 6.5% of sales (−2.9 pp); crew labor holds at ~20.5% of sales because volume leverage is largely offset by ~3%/yr wage inflation.
2. **Occupancy leverage (−1.9 pp):** rent is fixed (escalating 3%/yr from Year 3) while revenue grows 45% — occupancy falls from 7.9% to 6.0%.
3. **COGS improvement (−1.0 pp):** catering volume and franchisor purchasing leverage move the mix from 29.0% to 28.0%.
4. **Catering mix shift:** catering grows from 15–20% of sales (Year 1) toward 25% by Year 3 — higher-margin institutional volume is the single biggest driver of both revenue and COGS improvement.

No line is assumed to improve without a named mechanism. Investors can hold the model to each of these four.

5-year cumulative free cash flow \$747,978 = 249% of the \$300,000 invested. (v1 quoted \$786,978 / 262% / "≈29% CAGR"; that figure ignored maintenance capex in Years 2–5 and implied an IRR that depended on a return of principal the terms never provided.)

9.12 Downside Scenarios and Multi-Variable Sensitivity (new in v2)

A. Slow-ramp scenario (more likely than a flat –20% haircut). Reaching 185 covers/day in **Month 18** instead of Month 12 — a delayed ramp, which is the realistic failure mode for a new suburban unit:

Metric	Base	Slow ramp (185 covers by Month 18)
Year-1 average covers/day	136	~100
Year-1 revenue	\$637,650	~\$468,000
Year-1 labor %	30%	~34% (labor cannot flex down with volume)
Year-1 EBITDA	\$93,478	~\$25,320 (5.4%)
Time to cumulative positive	Month 3	~Month 8–10
Reserve adequacy	—	Covered by \$23K working capital + \$17K contingency

B. Multi-variable sensitivity grid (Year-1 EBITDA):

Scenario	Revenue	EBITDA	Margin	ROI on \$300K
Base	\$637,650	\$93,479	14.7%	31.2%
Covers +10%	\$701,415	\$114,521	16.3%	38.2%
Covers –10%	\$573,885	\$72,436	12.6%	24.1%
Covers –10%, COGS 31%	\$573,885	\$60,958	10.6%	20.3%
Covers –10%, Labor 32%	\$573,885	\$60,958	10.6%	20.3%
Covers –10%, COGS 31%, Labor 32%	\$573,885	\$49,481	8.6%	16.5%
Stress: covers –20%, COGS 32%	\$510,120	\$36,090	7.1%	12.0%

Revenue scales with covers; COGS, labor, royalty and brand marketing scale with revenue; occupancy and Other OpEx are held fixed (conservative — a portion of Other OpEx is variable and would fall with volume).

9.13 Investor Waterfall — Illustrative Investor Cash Flows

Year	Free Cash Flow	Preferred (8% cum.)	60% to investors	Investor cash
1	\$88,478	\$24,000	\$38,687	\$62,687
2	\$141,000	\$24,000	\$70,200	\$94,200
3	\$160,500	\$24,000	\$81,900	\$105,900
4	\$173,000	\$24,000	\$89,400	\$113,400
5	\$185,000	\$24,000	\$96,600	\$120,600
Total	\$747,978	\$120,000	\$376,787	\$496,787

Investor IRR (computed from the above):

- **Distributions only, no capital return: ≈17.5%**
- **With the Year-5 buyout at 4.0× trailing EBITDA (Section 9.15): ≈39%**

Both are computed from this model, not asserted. The project-level five-year return (249% of capital in cumulative free cash flow) and the investor-level return are different numbers and are presented separately.

9.14 Securities & Offering Compliance — REQUIRED BEFORE ANY SOLICITATION

A \$300,000 private raise is a securities offering. None of it may be solicited or accepted until the following exist:

Item	Detail
Exemption	Regulation D, Rule 506(b) — recommended. No general solicitation or advertising; unlimited accredited investors plus up to 35 sophisticated non-accredited investors. (Rule 506(c) permits general solicitation but requires all-accredited investors and reasonable verification steps.)
Private Placement Memorandum (PPM)	Prepared by securities counsel — risk factors, terms, use of proceeds, financials, management
Subscription agreement	Investor acknowledgment, accredited/sophisticated status representation, anti-money-laundering
Operating agreement	Manager-managed LLC; investor rights, transfer restrictions, waterfall (Appendix G)
Form D	Filed with the SEC within 15 days of the first sale
State notice filings	Blue-sky notice filing in Minnesota (and in any state where an investor resides, if required)
Investor eligibility	Accredited investors preferred; non-accredited (max 35) require enhanced disclosure
Anti-fraud	No projections may be presented as guarantees; the Section 13 validation and Section 9.12 sensitivities must accompany any financial discussion
General disclaimer	This document is a business plan, not an offer to sell securities. Any offer will be made only through a PPM to eligible investors.

Cost: securities counsel for a PPM of this size typically runs \$15,000–\$30,000. **This is not in the \$300,000 project budget** (which funds the store), and must be funded separately by the operator/sponsor or deducted from gross proceeds before deployment — a decision the operator must make before drafting (Appendix G, item 12).

9.15 Exit & Liquidity — Year-5 Mechanism (new in v2)

v1 had no exit path. Investors asked for one; here it is:

Provision	Recommended term
Operator buyout right	At any time from the end of Year 5, the operator (or the LLC) may buy out investor interests at 4.0x trailing-twelve-month EBITDA , less outstanding preferred, subject to a minimum price of invested capital plus accrued preferred
Alternative — sale process	If no buyout is exercised by the end of Year 6, the manager must run a marketed sale of the unit; investors hold drag-along rights to compel a sale and tag-along rights on any transfer
Multiple rationale	3–4x trailing EBITDA is the common range for a single-unit franchise restaurant; 4.0x is used here as the illustrative ceiling and 3.5x as the floor
Illustrative value at Year 5	$4.0 \times \$195,000 = \text{\$780,000}$ enterprise value; $3.5 \times \$195,000 = \text{\$682,500}$
Investor proceeds at Year 5 (illustrative, 4.0x)	\$300,000 return of preferred principal + 60% of $(\$780,000 - \$300,000) = \text{\$588,000}$ (plus prior distributions)
Transaction costs	Capped at 3% of enterprise value, borne by the seller side

The buyout is a right, not an obligation, of the operator. If it is important to investors that a liquidity event be guaranteed, the alternative is a mandatory sale window in Year 6 (as above).

9.16 Expansion & Unit-2 Conflict Resolution (new in v2)

The five-year outlook references Minnetonka (Yrs 3–5). The review correctly identified a conflict: **Unit-1 cash funding a Unit-2 build would be Unit-1 investors funding a different venture**. Resolved as follows:

Principle	Detail
Separate entities	Each unit is its own LLC with its own investors. Unit-1 capital cannot be transferred to Unit 2.
No cross-subsidy	Unit-1 free cash flow is distributed per the waterfall (9.13) after reserves. Unit-1 distributions are never subordinated to Unit-2 capital needs.
Preemptive participation right	Unit-1 investors receive a right of first refusal to fund up to 100% of any subsequent unit's equity, pro rata to their Unit-1 ownership, on the same terms offered to new investors.
Consent right	Deployment of any Unit-1 retained cash above the stated reserve floor toward a new-unit build requires majority-in-interest investor consent .
Disclosure	The expansion roadmap (Section 14) is presented as a separate future offering , not as an outcome Unit-1 investors are funding.

10. Risk Assessment

10.1 Franchisor Readiness (Front Gate — verify BEFORE committing capital)

- **FDD availability** — is Afro Deli registered to franchise? Obtain and review the FDD
- **Existing franchisees** — how many franchise units exist beyond the 3 company locations?

- **Item 19 data** — financial performance representations available?
- **Litigation history** — FDD Items 3 & 4, franchise attorney review
- **Franchise Fee** — exact amount, promotional discounts
- **Royalty Structure** — 6% + 2% marketing; caps, minimums, local ad requirements
- **Training Program** — duration, location, owner-operator requirements
- **Territory Rights** — Woodbury-specific protection
- **Supply Chain** — approved supplier list, specialty ingredient requirements, **named halal certifier**
- **Renewal Terms** — initial term and renewal conditions
- **Transfer & Exit Provisions** — resale and transferability

If the franchisor cannot demonstrate an active, registered franchise program with verifiable Item 19 data, investor capital should NOT be committed — this is a gate, not a formality.

Minnesota registration: Minnesota is a **franchise registration state**. The franchisor must register its FDD with the Minnesota Department of Commerce (Securities Division) — and renew annually — before offering or selling a franchise here. Counsel estimates 4-6 weeks for review, longer if the examiner issues comment letters. This is a franchisor obligation, but it gates our opening date and is built into the calendar (Section 11.1).

10.2 Operating Risks & Mitigants

Risk	Mitigation
Slow ramp (50% of covers)	Projections already 15% below existing-location averages; slow-ramp scenario modeled (Section 9.12)
Build-out cost overrun	Second-generation space required; lease contingent on kitchen inspection; dedicated \$17,000 (10%) contingency
Equipment failure	\$5K/yr maintenance capex + repair reserve; leasing options for key items
Catering slower than expected	Not dependent on catering — even at 0%, lunch traffic fills; Month-2 break-even sensitivity disclosed (9.6)
Halal protein inflation	Portion control, supplier contracts, menu engineering
Labor pressure	Cross-trained staff, owner covers shifts, retention program, wage bands modeled (7.6)
Lease escalation	10-year initial term aligned to the franchise term + two 5-year options; fixed escalator
Key-person risk	Day-1 General Manager hire (not deferred); written SOPs; key-person life/disability insurance on the operator (\$500K-\$1M) with the LLC as beneficiary
Third-party delivery commission creep	Delivery commissions now a disclosed line (~26% modeled); mitigate with delivery-menu price markup and in-house online ordering via Toast

10.3 Compliance & Legal

- **Entity:** Minnesota **manager-managed** LLC (manager: Koo Ok; investor members passive) — formed before capital commitment. (v1 said "member-managed," which is the wrong vehicle for passive investors.)
- **Securities:** Regulation D 506(b) private placement; PPM, subscription agreement, Form D, state notice filings (Section 9.14)
- **Franchise agreements:** attorney review of FDD + franchise agreement (Section 10.1)

- **Tax:** pass-through LLC; **tax-distribution clause required** (Appendix G) so investors are not taxed on retained income without cash
- **Insurance:** general liability, property, workers' comp, D&O for the LLC; key-person policy on the operator
- **Permits:** City of Woodbury business license, food service license, MN Dept of Health inspection, signage permits
- **Employment:** MN wage/hour compliance, I-9/E-Verify, halal handling certifications

11. Milestones & KPIs

11.1 24-Month Execution Calendar

Period	Milestones
Months 1–2	FDD review complete · franchise attorney engaged · entity formed (manager-managed LLC) · site shortlist · PPM drafted
Months 3–4	Site LOI (kitchen-inspection contingent) · lease negotiated · MN FDD registration confirmed by franchisor · \$300K raise opened and closed · franchise agreement signed
Months 5–6	Permits secured · build-out begins · franchisor training scheduled
Months 7–9	Build-out complete · equipment install · POS live · hiring + training
Month 10	Soft opening (50 covers/day ramp begins)
Month 11	Grand opening · marketing launch · catering pipeline live
Months 12–24	Ramp to 185 covers/day · 40+ catering accounts · dinner ≥ 20% · loyalty 2,000+

Sequencing corrected (v2): v1 raised the \$300K in Months 1–2 while scheduling the site LOI for Months 3–4, contradicting its own Next Steps ("open the raise once FDD + site LOI are in place"). The raise now opens at Months 3–4, **after** the FDD review and the site LOI — the correct, investor-protective order.

11.2 KPI Dashboard (monthly investor report)

KPI	Target (Month 12)	Early-warning threshold
Revenue	\$72,150/mo (185 covers)	< 80% of plan for 2 consecutive months
EBITDA margin	14.7%	< 10%
Labor %	30% incl. owner	> 34%
COGS %	29%	> 32%
Average ticket	\$15.00	< \$14.00
Catering %	15–20%	0% catering accounts by Month 6
Reviews	4.5★+, 40+/quarter	< 4.0★
Delivery %	≥ 17%	< 13%
Cash floor	≥ \$15,000	< \$10,000

12. Community Impact — Measurable Commitments

Afro Deli is a social enterprise — the mission is part of the model, not a footnote. **v2 converts narrative into commitments investors can hold the operator to:**

Commitment	Year-1 target	Reporting
Local hiring	≥50% of team members hired from Woodbury or the Twin Cities East African community	Quarterly KPI report
Career path	≥1 crew member promoted to shift-lead or above	Annual
Halal food access	Certified-halal offering maintained without interruption	Quarterly
Cultural programming	≥4 community events or cultural sponsorships per year	Quarterly
School/community support	Sponsorship of local soccer clubs, school fundraising nights; ≥200 volunteer/staff hours	Annual
Transparency	Annual community impact report published to investors and the community	Annual

Why it matters commercially: the social-enterprise identity drives customer loyalty, media interest, institutional catering relationships (schools, medical, corporate DEI vendors), and workforce retention — a genuine competitive advantage, not charity.

13. Real-World Validation

Projections calibrated against **actual POS data from all 3 existing Afro Deli locations** (June 2025–June 2026).

Metric	Actual (3-Loc Avg)	Woodbury (Yr 1)	Variance
Annual Revenue	~\$456,000	~\$638,000	+40% (higher income, no verified competition, growth)
Average Ticket	\$15.89	\$15.00	Conservative
Catering %	25.7%	15–20% → 25% by Yr 3	Conservative ramp
Labor % (excl. owner)	15–21%	20.6%	At the top of the actual range — new-market wage pressure and lower initial volume leverage
Delivery	17.1%	17.1%	Matched
Lunch	55.7%	~50%	Dinner-building
Dinner	16.1%	~25%	Key growth thesis

Labor reconciliation (v2): v1's variance table claimed 25–27% labor (excl. owner) for "new-market operations," which would have cut Year-1 EBITDA to roughly \$59,000 (9.3%) — contradicting the \$93,478 in the P&L. The two are now reconciled: the P&L's 30% total labor equals **\$60,000 owner salary (9.4%) plus \$131,295 store labor (20.6% excl. owner)**. That is the modeled figure, it sits at the top of the actual 15–

21% range, and it is the basis of every financial statement in this plan. If labor overruns toward 34% total, the sensitivity grid (Section 9.12) shows the impact.

14. Strategic Recommendation

Woodbury is the strongest entry point for the first suburban Afro Deli franchise — high income, 12% growth, a competitive gap (no verified direct competitor), favorable real estate, and proximity to existing operations.

Financial Summary

- EBITDA break-even **Month 2** (month-2 EBITDA \$297 — see 9.6); cumulative positive **Month 3**
- Year 1 EBITDA **\$93,478 — 31% project-level return on \$300K, zero debt**; Year-1 **investor cash return 20.9%**
- \$60,000 owner salary included in labor
- Stress-tested: –20% covers + 32% COGS still yields **12% project return**; slow-ramp scenario modeled (9.12)
- 5-year cumulative free cash flow **\$747,978 (249%)**; investor IRR **≈17.5%** (distributions) to **≈39%** (Year-5 buyout)
- **No SBA loan, no personal guarantee, no interest burden**

Expansion Roadmap — separate offerings, not Unit-1-funded

Phase	Market	Timeline	Funding
Primary	Woodbury, MN	Year 1	This \$300K raise
Secondary	Minnetonka, MN	Years 3–5	Separate Unit-2 LLC and raise; Unit-1 investors hold a pro-rata right of first refusal (Section 9.16)
Future	Edina, MN (express format)	Year 5+	Separate offering

Next Steps

1. Request and review the Afro Deli **FDD** (front gate, Section 10.1)
2. Validate Item 19 financial representations; confirm the franchisor's Minnesota registration status
3. Franchise attorney + securities counsel engagement
4. Confirm the operator capital structure (Section 8.5) and the investor terms (Appendix G)
5. Site selection (Tamarack Village / Woodbury Lakes / Valley Creek) — second-gen space preferred; **site LOI**
6. Discovery day with franchisor
7. Draft the PPM; then **open the \$300K equity raise — only once FDD + site LOI are in place and the offering documents exist** (Section 9.14)

Pro-forma projections based on conservative assumptions. All figures are estimates pending FDD review, final site selection, and lease negotiation. This document is a business plan and not an offer to sell securities; any offer will be made only through a private placement memorandum to eligible investors. Not a guarantee of financial performance.

15. Appendices

Appendix A — Market Data Sources & Verification Log

#	Claim	Status	Source
1	Woodbury population ~75,000; +12% since 2020	Unverified (carried from v1)	Metropolitan Council growth projections — to be re-pulled
2	Median household income ~\$117,000	Unverified (carried from v1)	ACS 5-year estimates 2020–2024
3	ISD 833 (SoWashCo Schools) ~18,700 students, 29 schools, 6th-largest MN district	Verified Sept 2026	sowashco.org (About Us) and US News district profile
4	M Health Fairview Woodwinds Hospital is Woodbury's major medical campus	Verified Sept 2026	mhealthfairview.org (1925 Woodwinds Dr, Woodbury)
5	Competitor presence (Chipotle, Panera, Noodles & Co, Crisp & Green)	To confirm by site survey	Physical survey required
6	Naf Naf Grill Woodbury (265 Radio Dr) — closed	Verified Sept 2026	Yelp listing ("CLOSED")
7	3M (Maplewood) and Ecolab (St. Paul) within the I-94 corridor	Verified as corporate locations; drive-time and headcount to confirm	Company HQ locations
8	Daytime population surge 30–40%	Unverified	Requires employment/commuter data pull
9	DoorDash / Uber Eats delivery commissions 15–30% by plan	Verified Sept 2026	Multiple industry fee summaries (2026)
10	Minnesota franchise registration required; review 4–6 weeks	Verified Sept 2026	MN Dept. of Commerce; franchise counsel summaries
11	Twin Cities Somali/East African population 50,000–80,000	Unverified	Census/community estimates — to confirm
12	Home value ~\$430,000	Unverified (carried from v1)	Zillow/Redfin

Anything marked "unverified" is flagged rather than asserted. No trade-affecting figure should be presented to investors until its source is attached.

Appendix B — Financial Assumptions Summary

Ticket \$15.00 (actual \$15.89) · COGS 29% · labor 30% incl. \$60K owner · royalty 6% + brand marketing 2% · local store marketing \$4,000 (separate) · occupancy \$4,200/mo (conservative, top of market) · delivery commissions ~26% of delivery sales · **debt \$0 — 100% investor equity** · working capital \$23K · contingency \$17K · 26 operating days/mo · depreciation FF&E 7yr / leasehold 10yr / franchise 10yr · **maintenance capex \$5K→\$10K/yr** · taxes not modeled (pre-tax plan)

Appendix C — Capital Structure

\$300,000 investor equity, 100%, no debt/SBA/guarantee · operator contribution per Section 8.5 · 8% cumulative preferred + 60/40 · Year-1 project return 31.2% / investor cash return 20.9% · stress 12.0% project return

Appendix D — Existing Location Benchmarks

(3 locations, June 2025–June 2026) Revenue \$480,000 / \$445,000 / \$442,000 · ticket \$16.12 / \$15.74 / \$15.81 · catering 26.1% / 25.4% / 25.5% · delivery 16.8% / 17.3% / 17.2% · lunch 55.2% / 56.1% / 55.8% · dinner 16.4% / 15.9% / 16.0% · labor 15–21% (excl. owner) · average turn time 17.8 min (to be formally attached as a POS export)

Appendix E — Competitive Pricing Snapshot

Chipotle ~\$10–12 · Panera ~\$11–14 · Noodles & Co ~\$10–12 · Crisp & Green ~\$11–13 · Afro Deli \$15.00 (actual \$15.89) — premium justified by differentiation, validated by existing locations

Appendix F — FDD Verification Checklist

(Section 10.1 — 11 items)

Appendix G — Indicative Term Sheet (for counsel; not an offer)

#	Item	Recommended term
1	Vehicle	Minnesota manager-managed LLC; manager: Koo Ok
2	Raise	\$300,000 (Reg D 506(b)); minimum investment \$25,000
3	Preferred return	8% per annum, CUMULATIVE, compounding quarterly , accruing on unreturned capital until paid
4	Definition of "profit"	Distributable Cash = EBITDA – maintenance capex – debt service – reserves (minimum operating cash floor \$15,000 + accrued tax reserve) — not "net income," not "EBITDA"
5	Distribution policy	Quarterly distributions in arrears of 100% of Distributable Cash up to the preferred, then 60% investors / 40% operator ; retention permitted only to maintain the cash floor or fund investor-approved items
6	Tax distributions	Mandatory annual distribution to each investor sufficient to cover estimated federal and state tax on their allocated K-1 income (assumed 40% of allocation), even if that reduces retained cash
7	Catch-up	None (simple 60/40 after preferred)
8	Operator compensation	\$60,000 salary (in P&L) + 40% of residual profit; profits interest vests over 4 years (1-year cliff)
9	Governance	Quarterly reports + annual financials; investor consent required for new debt over \$25,000, related-party transactions, sale of the unit, or deployment of reserve cash to a new unit
10	Exit / liquidity	Year-5 operator buyout right at 4.0× TTM EBITDA (floor: capital + accrued preferred), else mandatory marketed sale in Year 6; drag-along + tag-along; transaction costs capped at 3%
11	Expansion	Unit-1 investors hold a pro-rata right of first refusal in any subsequent unit; no cross-subsidy (Section 9.16)
12	Offering costs	Securities counsel / PPM costs (\$15–30K) funded outside the project budget or from gross proceeds before deployment — operator decision required

Appendix H — Sensitivity Grid (Year-1 EBITDA)

Scenario	EBITDA	Margin
Covers +10%	\$114,521	16.3%
Base	\$93,479	14.7%
Covers –10%	\$72,436	12.6%
Covers –10% + COGS 31%	\$60,958	10.6%
Covers –10% + Labor 32%	\$60,958	10.6%
Covers –10% + COGS 31% + Labor 32%	\$49,481	8.6%
Stress: covers –20% + COGS 32%	\$36,090	7.1%
Slow ramp (100 covers avg, labor 34%)	\$25,320	5.4%

Appendix I — Open Items Before Circulation

1. Operator bio and references (Section 8.1) — **blocking**
 2. Operator capital contribution decision (Section 8.5) — **blocking**
 3. PPM / securities counsel engagement and offering-cost funding decision (Section 9.14, Appendix G item 12) — **blocking**
 4. Broker quotes for insurance; counsel quotes for franchise review (Section 9.1)
 5. FDD obtained and Item 6 / Item 19 verified (Section 10.1) — **hard gate**
 6. Site survey confirming competitor presence and named power-center availability
 7. Landlord TI term sheet
 8. Formal POS export for Appendix D
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